



FRG DEBARMENT POLICY

This policy is not a Group policy and is applicable to TFG Insure *only*

SOUTH AFRICA

In terms of:

- **Section 14 of the Financial Advisory and Intermediary Services Act 37 of 2002 (“FAIS”)**
- **Board Notice 194 of 2017, The Determination of Fit and Proper Requirements (“the Notice”)**
- **The Financial Sector Regulation Act 9 of 2017 (“FSRA”)**
- **Guidance Note 1 of 2019 (FAIS)**



1. INTRODUCTION

Foschini Retail Group (Pty) Ltd (“FRG”) is an authorised financial services provider (“FSP”) (FSP No. 32719) and a subsidiary of the JSE listed company, The Foschini Group Limited (“TFG”). FRG is committed to ongoing compliance with FAIS, and the fit and proper requirements of its representatives and key individuals (“Representative/s”) as envisaged the Notice. To achieve this, FRG has implemented this policy to ensure that any Representative that contravenes FAIS in a material manner or fails to maintain compliance with the Notice is debarred in terms of section 14 FAIS, read together with FSRA and Guidance Note 1 of 2019 (FAIS).

2. PURPOSE

This policy aims to set out and provide guidance on the process to be followed to give effect to FRG’s statutory responsibility to debar any Representative who is not compliant with FAIS or the Notice. It specifically provides guidance on:

- The process to be followed to debar a Representative
- Circumstances under which debarment must be considered
- Effective monitoring and internal control measures to ensure adherence to this policy
- The consequences of non-adherence to this policy.

3. WHAT IS DEBARMENT?

Debarment is the onus placed on a FSP by FAIS to prevent/stop any Representative mandated by the FSP to render financial services from rendering such services if he/she no longer meets the fit and proper requirements as set out in the Notice or has contravened or failed to comply with any provision of FAIS in a material manner.



4. FRG'S DEBARMENT PROCESS

If FRG identifies a situation where the debarment of a Representative is required, the following process must be followed before the Representative is debarred:

- Written notice must be given to the Representative stating FRG's intention to debar him/her. This notice must include:
 - The intention to debar
 - The grounds and reasons for debarment
 - Terms attached to such debarment, including terms relating to conclusion of outstanding business and any measures stipulated for the protection of the interests of the client.
- A copy of this policy must be provided to the Representative.
- He/she shall be allowed a reasonable opportunity to make submissions in response to the intended debarment.
- At FRG's discretion a hearing may be scheduled which will be conducted before a chairperson with the Representative, manager and any witnesses that FRG and/or the Representative wishes to call to give evidence.
- At FRG's discretion these proceedings may be initiated together with employment related disciplinary proceedings in accordance with TFG's Disciplinary Policy.
- The outcome of disciplinary proceedings may be different from the outcome of the debarment hearing.
- FRG will consider the responses and evidence presented at the hearing and take a decision on debarment irrespective of any other disciplinary charges/sanctions that may have been or may be levied against the Representative.
- Once a decision has been taken to debar the Representative FRG will immediately notify him/her in writing of the following:
 - The decision taken by FRG to debar him/her
 - His/her rights in terms of section 14(3) and 39 of FAIS (read with section 228 of FSRA) to apply to the Financial Services Tribunal for the reconsideration of the decision.



5. AFTER DEBARMENT

After the decision to debar the Representative has been made and written notification of such a decision has been provided to the Representative, FRG will ensure that:

- Any authority for the Representative to act on behalf of FRG is withdrawn immediately.
- It removes the name of the Representative from its Representative Register.
- It immediately takes steps to avoid any prejudice to the interest of clients.
- It notifies the Financial Sector Conduct Authority of the debarment within 5 (five) days of the debarment.
- It provides the Financial Sector Conduct Authority of the grounds and reasons for the debarment within 15 (fifteen) days of the debarment.

Any failure to act in accordance with this provision may result in regulatory sanctions against FRG.

6. INSTANCES WHERE FRG WILL CONSIDER DEBARMENT

A debarment will be considered where a Representative fails to remain fit and proper as required by the Notice, or where a Representative fails to comply with FAIS in a material manner. The following instances are not exhaustive and only serve as an example of what may constitute grounds for debarment:

- Failure to complete regulatory examinations or any other required qualification before the cut-off date.
- Fraud, theft and other offences that involve dishonesty.
- Instances listed under section 9 of the Notice, where a person will be deemed not to be in good standing.
- Non-compliance with Continuous Professional Development requirements.
- Persistent lack of adequate, appropriate and relevant skills, knowledge and expertise in respect of financial services, financial products and functions that are performed by FRG as an FSP.



- Lack of operational ability to effectively function as a Representative of FRG or perform the activities for which that person was appointed.

7. DEBARMENT OF REPRESENTATIVES NO LONGER EMPLOYED BY FRG/TFG

FRG will retain the obligation to debar a Representative who is no longer in its employ/authorized to act on its behalf where:

- The reason for debarment occurred and became known to FRG while the Representative was still employed/authorized to act on behalf of FRG; and
- The debarment process takes place within 6 (six) months of termination of the Representative's employment with FRG/authority to act on behalf of FRG.

Where a situation like this occurs, the written notice referred to in section 4 above will be delivered by way of registered mail to the last known residential or postal address on record, as well as via email to the last known email address on record. A secondary delivery method such as courier service offering tracked delivery will be used where required.

Should FRG not receive a response within the required timeline, it will proceed to take a decision on debarment and notify the former Representative accordingly, as per section 4 above. FRG will thereafter proceed as required as per section 5 above.

8. DEBARMENT BY THE FSCA

In terms of section 153 of FSRA the Financial Sector Conduct Authority ("FSCA") may debar a Representative from rendering any financial services. In instances where a Representative in the employ of FRG is debarred by the FSCA FRG will remove that Representative's name from its Representative Register within 5 (five) days of receipt of the notification of the debarment.

9. MEASURES TO ENSURE ADHERENCE WITH THE POLICY

In order to ensure that this policy is implemented and adhered to effectively FRG will:



- Monitor timelines applicable for Representatives to write the required Regulatory Exams or complete any required qualification.
- Ensure that all annual declarations of Honesty and Integrity are signed by Representatives and review same to confirm ongoing status of good standing.
- Regularly train Representatives on the policy and the processes involved.

10. CONSEQUENCES OF NON-COMPLIANCE WITH THIS POLICY

Any failure to comply with this policy will result in disciplinary action in terms of TFG's Disciplinary Policy, which could result in the termination of employment with FRG/TFG.